

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester III Examination, 2022-23

Paper No. BCF-213: Corporate Taxation

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Mr. Ram furnishes the following particulars of his income earned during the previous year relevant to the assessment year 2022-23. Compute his Gross Total Income if he is: (a) Ordinary Resident, (b) Not-Ordinary Resident, (c) Non-Resident.

Sl. No.	Particulars
(i)	Interest on Savings Bank Deposit in Corporation Bank, Delhi
(ii)	Income from agriculture in Africa, invested in Russia
(iii)	Dividends received in USA from English Company, out of which Rs. 2,000 were remitted to India
(iv)	Salary drawn for two months for working in Indian Embassy's Office in Australia and salary received there
(v)	Income from house property (the building is situated in Iraq), out of which Rs. 20,000 was deposited in a bank in Iraq and the balance remitted to India
(vi)	Pension received in Belgium for services rendered in India with a limited liability company
(vii)	Interest paid by an Indian company but received in London

[14]

OR

What are the different categories into which the assessee is divided with regard to residence? Give a brief account of each of them.

[14]

Question 2.

The following is the Receipts & Payments Account of Mr. 'GC', a practicing Chartered Accountant for the year ended 31-03-2022:

Receipts	Amount (Rs.)	Payments	Amount (Rs.)
Audit fees	19,210	Office expenses	10,000
Consultation fee	10,000	Office rent	5,000
Appellate Tribunal appearance fee	15,000	Salaries and wages	12,000
Miscellaneous fee	20,000	Printing and stationery	1,000
Interest on Government Securities	10,000	Subscription to CA Institute	3,000
Rent received	10,000	Purchase of books for professional purposes	1,300
Presents from client	10,000	Travelling expenses	5,800
		Interest on bank loan	3,000
		Donation to National Defense Fund	5,000
Balance b/d			

Additional Information:

- (a) Loan from bank was taken for the construction of the house in which he lives. The municipal value of this house is Rs. 8,000 and local taxes Rs. 800 p.a.
- (b) 1/4th of travelling expenses are not allowable.

Compute Professional Income of Mr. GC for the assessment year 2022-23. [14]

OR

What is Book Profit? Under Section 40(b), what items are disallowed as deduction while computing firm's income from business or profession? Explain fully. [14]

Question 3.

X, Y and Z, the partners share profits and losses in the ratio of 1:2:3. Net profit as per Profit & Loss Account is Rs. 1,31,800 for the previous year 2021-22. In computing the total income of Rs. 1,31,800, the following have been debited to the P & L Account:

- Salaries of Rs. 1,30,000.
- Interest on Capital calculated @ 20% of Rs. 3,500, Rs. 14,000 and Rs. 10,500 to X, Y and Z respectively.
- Bonus to Z Rs. 15,000.
- Commission of Rs. 5,000, Rs. 12,500 and Rs. 17,500 to X, Y and Z respectively.

Z had borrowed capital for his investment in the firm and had paid interest of Rs. 7,500 separately to the lender.

Compute the Total Income of the firm and Taxable Income of the three partners in the firm. All are working partners. The firm fulfils the conditions of Section 184 of the Income-tax Act, 1961. [14]

OR

Explain clearly the deductions expressly admissible and inadmissible in computing the Income from 'Business and Profession' as per Income-tax Act, 1961. [14]

Question 4.

The following are the incomes of Mr. R for the financial year 2022-23:

- Taxable Income from Profession: Rs. 7,50,000 (Printed as such, mathematically requires 14,50,000)
- Taxable Income from House Property: Rs. -3,50,000
- Dividend from Indian Company: Rs. 50,000
- Interest on Savings Bank deposit: Rs. 25,000
- Interest on Post Office deposits: Rs. 10,000
- Gross Total Income: Rs. 11,85,000

Additional transactions:

- (a) He has paid Life Insurance Premium: Rs. 70,000
- (b) He has paid Health Insurance Premium by cheques: Rs. 10,000
- (c) He has donated to PM Cares Fund by cheques: Rs. 15,000

Calculate Advance Tax Installments u/s 211 of Income-tax Act, 1961.

[14]

OR

Write short notes on the following:

[7+7]

- (a) Unabsorbed depreciation
- (b) Procedure of an appeal to the Commissioner (Appeals)

Question 5.

Mr. B is an employee of a company at Varanasi. He received the following during the financial year 2022-23:

- Salary: Rs. 9,60,000
- Dearness allowance: Rs. 2,80,000
- Bonus: Rs. 80,000
- Children Education Allowance: Rs. 150 per month for one child
- Chargeable/Computed value of rent-free house: Rs. 1,56,000
- His annual contribution to Provident Fund: Rs. 96,000
- He has paid Life Insurance Premium: Rs. 12,000
- Donation to PM Cares Fund: Rs. 10,000

Compute his Income from Salary liable to deduction of tax at source and the amount of tax to be deducted.

[14]

OR

What do you understand by 'Advance Payment of Tax'? Explain the provisions of the Income-tax Act in this respect.

[14]

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